IN THE UNITED STATES BANKRUPTCY COURT

FOR THE WESTERN DISTRICT OF TEXAS

AUSTIN DIVISION

In re: JUST ONE DIME COACHING, LLC, Debtor. MINNS FIRM CLIENTS, Plaintiff, v. DANILO VARRIALE; DANMARK, INC.; DANVID, f/k/a BEARDMAN COMPANY CORP.; DAGABIA, INC.; DSD IMPORTS BROS., LLC; BRETT GEORGE; N2 ECOM, LLC; AKH INVESTMENTS, LLC; BOH SOLUTIONS, LLC; DAVID LOPEZ; VICTORIA ECOM, LLC; LUXEUP, INC.; VICTORIA STATE, LLC; APPS INNOVATION, INC.; PATRICK CUPILLARI; AND THE SKUNK LABS, LLC; TRAVIS SETH KNIEP; JOSIAH KNIEP; KIMBERLY KNIEP; AND AUDREY "ATALIE" KNIEP, Defendants.	Case No. 22-10783-smr Chapter 7 Adv. Pro. No. 23-01036-smr

This pleading requests relief that may be adverse to your interests.
If no timely response is filed within 21 days from the date of service, the relief requested herein may be granted without a hearing being held.
A timely filed response is necessary for a hearing to be held.
Any response must be timely filed with the United States Bankruptcy Clerk, Western District of Texas, 903 San Jacinto Blvd., Suite 322, Austin, Texas 78701.
If a timely response is filed, the Court will then set a hearing on the Motion, and you will be provided with notice of the date, time, and place of the hearing.
If you do not attend the hearing, the Court may decide that you do not oppose the Motion.

MOTION OF PATRICK CUPILLARI, SKUNK LABS, LLC, 324 MAIN STREET PROPERTY, LLC, AND PROPHET CONSULTANTS, LLC TO DISMISS AMENDED ADVERSARY COMPLAINT FILED BY MINNS FIRM CLIENTS

TO THE HONORABLE SHAD M. ROBINSON, UNITED STATES BANKRUPTCY JUDGE:

Patrick Cupillari, Skunk Labs, LLC, 324 Main Street Property, LLC, and Prophet Consultants, LLC (collectively, the "New Jersey Based Defendants"), by and through their attorneys, Rabinowitz, Lubetkin & Tully, LLC and McGinnis Lochridge LLP, hereby file this, their Motion to Dismiss Adversary Complaint Filed by Minns Firm Clients (the "Motion"), and respectfully show unto the Court the following:

INTRODUCTION

1. The New Jersey Based Defendants bring this motion to dismiss the Amended Complaint of the Minns Firm Clients for failure to state a claim on numerous grounds.

2. On November 23, 2022, Just One Dime Coaching, LLC (the "Debtor") filed a Voluntary Petition pursuant to the provisions of Chapter 7 of the Bankruptcy Code.

3. On November 23, 2022, Randolph N. Osherow (the "Trustee") was appointed as interim Chapter 7 Trustee for the Debtor's bankruptcy estate and continues to serve as Trustee herein.

4. Prior to the commencement of the Debtor's bankruptcy proceeding, the Minns Firm Clients filed five District Court suits against the Debtor and various parties with whom the Debtor contracted. The District Court actions assert (i) breach of contract; (ii) conspiracy to commit fraud; (iii) unjust enrichment; (iv) fraudulent transfer claims; and (v) the failure to register securities claims. The New Jersey Based Defendants were not named as defendants in any of the pre-petition suits. Those District Courts complaints are public records which the Court can consider on this motion to dismiss.

5. On November 28, 2023, the Minns Firm Clients filed the initial adversary proceeding Complaint which commenced the action to which this dismissal motion relates. That initial Complaint asserted breach of contract claims (based on a third party beneficiary theory), conspiracy to commit fraud claims, and unjust enrichment claims, all of which underlying causes of action were also asserted in the pre-petition District Court actions.

6. The initial Complaint attached the Amazon Store Builder Independent Partner Agreement between the Debtor and N2 Ecom LLC, and asserts such form was the contract utilized between the Debtor and the "Brand Builders" which purportedly supports plaintiffs' third party beneficiary breach of contract claims. See, Exhibit "2" of plaintiffs' initial Complaint. The New Jersey Based Defendants were added as additional defendants to the adversary proceeding via the Complaint, despite not being defendants in any of the pre-petition District Court actions. The Debtor, who was a defendant in all the District Court matters, was not included as a defendant in the adversary proceeding.

7. The Debtor and the Minns Firm Clients are parties to agreements, called "Services Agreements," also referenced in the Amended Complaint, and attached to the District Court complaints, under which the Debtor became obligated to perform certain activities for the Minns Firm Clients. Pursuant to an Amazon Store Builder Independent Partner Agreement (the "Agreement") between the Debtor and Skunk Labs, LLC ("Skunk Labs"), one of the New Jersey Based Defendants, Skunk Labs agreed to perform certain activities for the Debtor. The Minns Firm Clients are not intended beneficiaries of the commercial contract between the Debtor and Skunk Labs, nor do the Minns Firm Clients qualify as a donee or creditor beneficiary under the Agreement.

8. On June 22, 2022, in connection with the termination of the relationship between the Debtor and Skunk Labs, the Debtor voluntarily and knowingly waived and released any and all claims against Skunk Labs.

9. Defendant Patrick Cupillari is the principal of Skunk Labs. The other New Jersey Based Defendants are affiliates of Mr. Cupillari that had no involvement with the Debtor or any of its customers.

THE MOTION TO DISMISS

10. As set forth below, even deeming the allegations of fact contained in the Amended Complaint as true, and considering the exhibits attached to the initial Complaint, and matters of public record, including the pre-petition District Court suits, and exhibits attached to them, the Court should dismiss the Amended Complaint with regard to the New Jersey Based Defendants.

11. Federal Rule 12(b)(6) allows a party to move for the dismissal of a complaint for "failure to state a claim upon which relief can be granted." To survive a motion to dismiss, "a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.'" Tolon v. Hollingsworth LLC, 2023 U.S. Dist. LEXIS 200470, at *2 (W.D. Tex. Nov. 7, 2023) (quoting Ashcroft v. Iqbal, 556 U.S. 662, 678 (2009)). "A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." Id. at *3 (quoting Iqbal, 556 U.S. at 678).

THE AMENDED COMPLAINT

12. As indicated, the Amended Complaint contains seven counts.

13. Count 1 asserts a claim by plaintiffs as alleged third party beneficiaries of the Agreement between the Debtor and Skunk Labs. The New Jersey Based Defendants are identified in the Amended Complaint as one of the "Brand Builders," and the Amended Complaint references in paragraph 52 the "independent contractor" contracts the Debtor had with each "Brand Builder."

THE COMPLAINT LACKS THE REQUISITE ALLEGATIONS BY EACH PLAINTIFF AGAINST THE NEW JERSEY BASED DEFENDANTS

14. "When multiple plaintiffs file a complaint against multiple defendants for several different causes of action, the factual allegations in the complaint must specifically identify

which plaintiffs are bringing which claims against which defendants so that each defendant has fair notice." Each plaintiff must show that he or she personally suffered some injury as a result of the defendant's conduct.

15. The Complaint lacks specific allegations from each plaintiff as to the New Jersey Based Defendants' involvement in the alleged acts, or that any specific conduct of the New Jersey Based Defendants directly and proximately caused damages to any specific plaintiff.

16. The only specific factual assertions in the Amended Complaint, as opposed to generic legal conclusions directed generally to all defendants, asserts conduct of the Debtor and its principals. See for example:

(a) Paragraph 5 "The Minns Firm Clients … conducted business with [the Debtor] prior to the Petition Date";

(b) Paragraph 36, "All work would be done by [the Debtor]";

(c) Paragraph 41, "[The Debtor] recruited investors";

(d) Paragraph 44 "[The Debtor] promised …"; and

(e) Paragraph 63 "Kniep devised and implemented a scheme to defraud …".

17. Despite not attributing any expressly pled factual conduct to the New Jersey Based Defendants, the Amended Complaint then concludes universally, without any factual support, "Defendants engaged in an unconscionable action" (para. 91), "Defendants falsely represented" (para. 92), "Defendants fraudulently employed" (para. 93).

18. Thus, the Amended Complaint lacks the specificity required for fair notice when multiple plaintiffs sue multiple defendants. As concerns the New Jersey Based Defendants, it contains only naked assertions devoid of factual enhancement and mere conclusory statements which are not entitled to the presumption of authority.

As for the Alleged Securities Law Violations

19. The plaintiffs maintain that their "Service Agreements" with the Knieps and other the Debtor entities qualify as "investment contracts that constitute securities." Amended Complaint ¶ 105. Here, too, they are mistaken.

20. Under the test set forth by the Supreme Court in the Howey decision, an investment contract qualifies as a security if it meets three requirements: (1) an investment of money; (2) in a common enterprise; and (3) on an expectation of profits to be derived solely from the efforts of others. Securities Exchange Commission v. Arcturus Corp., 928 F.3d 400, 409 (5th Cir. 2019) (citing Securities Exchange Commission v. W.J. Howey Co., 328 U.S. 293 (1946)).

21. Here, the plaintiffs cite to no provision in any Service Agreement pursuant to which the plaintiffs "invested" money, in a "common enterprise," on an expectation of "profits" solely from the efforts of others. Amended Complaint ¶¶ 104-05. Indeed, by definition, a "Service Agreement" does not contemplate "investment."

22. Also, here too, the plaintiffs raise allegations inconsistent with earlier paragraphs. Compare Amended Complaint ¶¶ 48, 108 (alleging that Kniep or the Knieps recruited the plaintiffs), with ¶ 106 (alleging that the defendants had "intimate knowledge" of the recruitment of and in fact they recruited the plaintiffs).

23. Finally, at the very least, the plaintiffs fail to satisfy Rule 8 because they allege only that Brand Builders assisted in the recruitment of the plaintiffs, without any specifics.

24. The Texas Supreme Court has adopted a version of the Howey test to determine when investment contracts qualify as securities under the Texas Securities Act. Carr v. Barnett, 2022 U.S. Dist. LEXIS 89196, at *16-17 (N.D. Tex. May 18, 2022) (citing Life Partners, Inc. v. Arnold, 464 S.W.3d 660, 670 (Tex. 2015)).

As for the Fraudulent Transfer Claim

25. The plaintiffs appear to misunderstand the "TUFTA" fraudulent transfer statute, which allows a creditor of a debtor-transferor to recover transfers from a transferee. Tex. Bus. & Com. Code §§ 24.005, 24.006.

26. Here, the plaintiffs allege that "the fraudulent transfers were made by Defendants for their own financial benefit." Amended Complaint ¶ 131-32 (emphasis added). Having failed to allege that they were creditors of the New Jersey Based Defendants, they lack standing to assert such a claim.

27. Even assuming that the count can somehow be interpreted to seek avoidance of transfers by the Debtor to the New Jersey Based Defendants, plaintiffs fail to allege basic, threshold facts required to support such a claim. More specifically, they fail to allege under section 24.005(b) and consistent with Rule 9(b) any badges of fraud that might indicate fraudulent intent; that the Debtor received less than reasonably equivalent value in exchange for any transfers; or that the Debtor was insolvent or was rendered insolvent as a result of the transfers. Dismissal is thus required.

As for the Unjust Enrichment Count

28. Under Texas law, unjust enrichment is not an independent cause of action. Midwestern Cattle Mktg., LLC v. Legend Bank, NA, 999 F.3d 970, 972 (5th Cir. 2021) (noting "Texas state courts' understanding that unjust enrichment describes the nature of certain claims and remedies, not a distinct cause of action itself"). Plaintiffs admit this reality in the Amended Complaint itself.

29. Thus, Count 7, in which the plaintiffs assert an independent claim of unjust enrichment, must be dismissed.

Conclusion

30. For the foregoing reasons, the Minns Firm Clients' Amended Complaint should be dismissed.

Dated: January 23, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that, on the 23rd day of January 2024, the undersigned personally caused true and correct copies of the foregoing pleading, together with all attachments hereto, to be served by electronically filing it with the Court using the Court's CM/ECF system, which sent notification to the parties receiving same through such system as listed in the attached Matrix, and on the parties shown on the below service list, via first class U.S. Mail and/or e-mail.

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